

Table 17.1 Identification Guidelines

Characteristic	Discussion
Appearance	Five turns are governed by Fibonacci ratios.
AB/AX retrace	The Fibonacci ratio should be .786.
CB/AB retrace	The ratio should be one of the Fibonacci numbers: .382, .5, .618, .707, .786, or .886.
CD/CB extension	The extension of leg CD to CB is one of the Fibonacci numbers: 1.618, 2, or 2.24.
AD/AX retrace	The ratio of AD to AX is 1.27.
Volume	Volume is downward the majority of the time, but this is an observation, not a requirement.
Duration	I limited patterns to 6 months, but this is an arbitrary limit I use for many chart patterns.

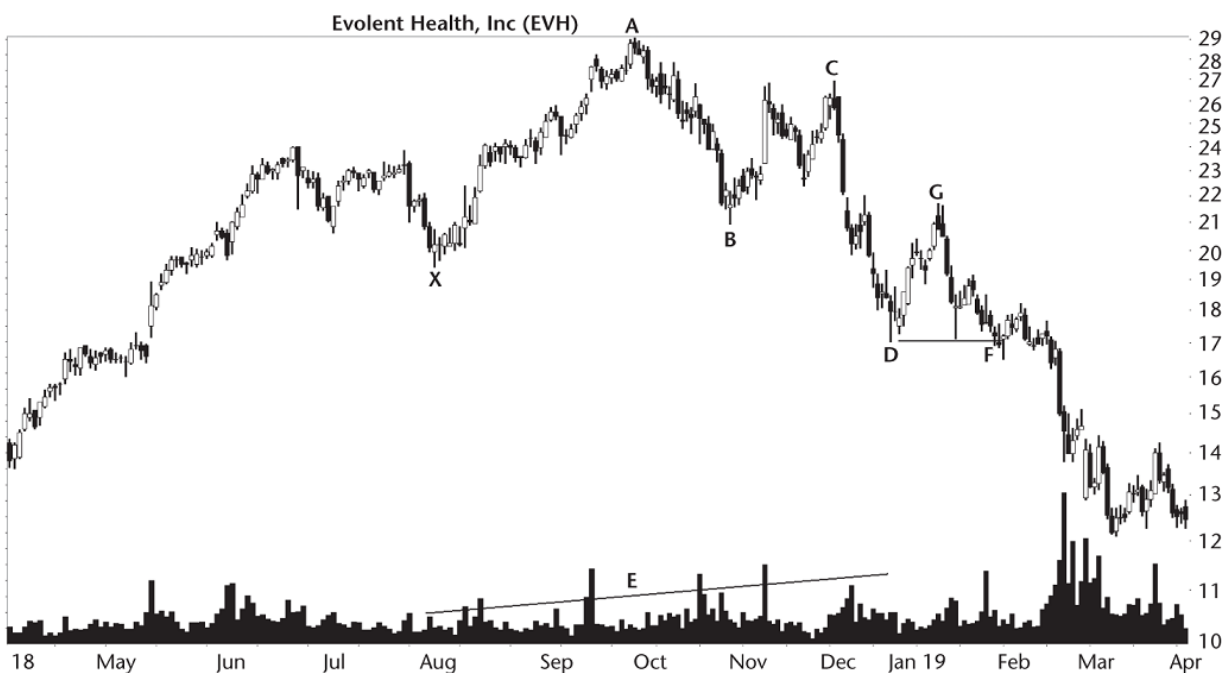


Figure 17.2 This bullish butterfly is at XABCD and has a downward breakout, but the rise after D is still decent for a swing trade.

Appearance. A perfectly looking bullish butterfly might remind you of a creature with two wings, the first wing being highlighted by lines connecting turns XAB (and back to X) and the second wing by lines